B&K

Sector Update

Defence & Aerospace

DAC clears Rs 2.38 trn AoN - strong push toward air defence layering, airlift and unmanned strike capability

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The Defence Acquisition Council (DAC), chaired by Raksha Mantri Shri Rajnath Singh, has accorded Acceptance of Necessity (AoN) for capital acquisition proposals worth ~Rs 2.38 trn. In our view, this tranche meaningfully strengthens India's airlift capability (MTA), deepens layered air defence (S-400 + Tunguska), and accelerates the shift toward unmanned warfare (RPSA). Importantly, the 'Buy & Make' structure across some platforms indicates sustained localisation tailwinds for the domestic ecosystem over the medium term, despite initial foreign OEM dependence in select segments. This latest round of approval takes the total for FY26 to Rs 9.28 trn. Capital procurement contracts worth Rs 2.28 trn have been signed in the current fiscal. Both these are record highs. The latest approvals include the following across armed forces, with potential beneficiaries:

- **Indian Army**
  - Air Defence Tracked System *(to provide real time air defence control and reporting capability)* – integrated with AkashTeer; includes short-range systems such as Tunguska air defence missile systems (~Rs 4.45 bn contract with Russia's Rosoboronexport) enabling mobile, close-in protection against drones, cruise missiles and low-flying aircraft.
  - Armoured Piercing Tank Ammunition *(to enhance the lethality of anti-tank ammunition)* – domestic suppliers could include Munitions India/Solar Industries (warheads/propellants).
  - High Capacity Radio Relay *(to provide reliable and fail proof communication)* – network backbone systems; potential beneficiaries include BEL/HFCL.
  - Dhanush Gun System *(to enhance the artillery's capabilities to engage targets at longer ranges in all terrains with enhanced lethality and accuracy)* – likely a repeat order for 300 guns (~Rs 25 bn); 155mm/45 calibre, ~38km range; OFB lineage (now Advanced Weapons & Equipment India).
  - Runway Independent Aerial Surveillance System *(to provide surveillance capabilities to the Army units).*
- **Indian Air Force**
  - Medium Transport Aircraft *(to meet the strategic, tactical and operational airlift requirements by replacing AN-32/IL-76 fleet)* – 60 aircrafts (~Rs 1 trn); 'Buy & Make' (12 flyaway + 48 India manufacturing); contenders include Embraer C-390 (partnered with Mahindra Group), Airbus A400M, Lockheed C-130J; payload ~18-30 tonnes, replacing the transport fleet of AN32/IL76.
  - S-400 Long Range Surface-to-Air Missile System *(to counter enemy long-range air vectors targeting vital areas)* – 5 additional squadrons (~Rs 500 bn); strengthens top layer of air defence; complements Akash/Barak/QRSAM tiers.

- Remotely Piloted Strike Aircraft (RPSA) *(to enable offensive counter and coordinated air operations with stealth ISR capability)* – 4 squadrons (~Rs 450 bn); ~8-10 armed UAVs per squadron; indigenous route; focus on long-endurance precision strike (high relevance post Operation Sindoor learnings).
- Overhaul of Su-30 Aero Engine Aggregates *(to increase service life and fulfil operational requirements)* – lifecycle sustainment of AL-31FP engines; HAL benefits.

Indian Coast Guard

- Heavy Duty Air Cushion Vehicles *(for multipurpose maritime coastal roles including high-speed patrolling, reconnaissance and SAR operations).*

Overall, this AoN tranche yet again reinforces three clear themes: (1) deeper air defence layering (long + short range), (2) accelerated unmanned and ISR capabilities, and (3) sustained localisation via Buy & Make – all of which continue to underpin a multi-year opportunity for the domestic defence ecosystem.

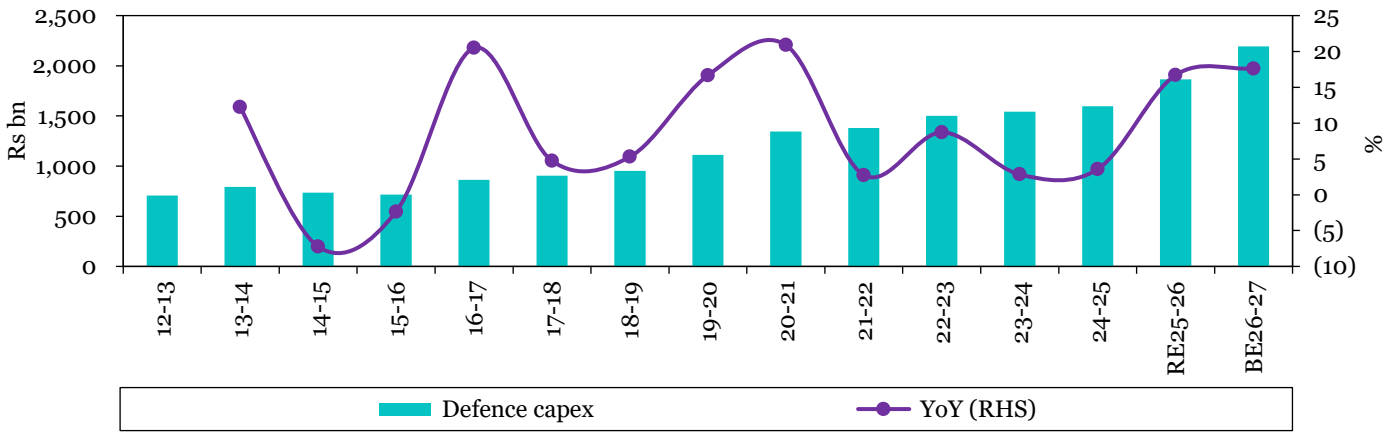
AoNs strengthening order pipeline

While approved AoNs do not immediately lead to orders, the scale of approval over the past few years provide comfort on order inflows for players across the ecosystem over the medium term. Approvals for certain products also underscore government's emphasis on inducting emerging technologies to address capability gaps and white spaces. AoN approvals for FY24 and FY25 stood at Rs 3.8 trn and Rs 2.2 trn respectively, and the sharp acceleration over the past few years suggests that the pace of ordering is likely to remain structurally elevated going forward.

Union Budget: Capex cycle deepens

Growth in the defence budget, particularly in capital outlay, augurs well for the broader defence & aerospace ecosystem. Defence capex (BE FY27) stands at Rs 2,193 bn, implying a 22% increase over Rs 1,800 bn (BE FY26) and an 18% increase over Rs 1,865 bn (RE FY26). Notably, capital outlay now constitutes 27.9% of the overall defence budget (BE FY27: Rs 7,847 bn), the highest share since FY15, reflecting a clear policy thrust toward modernisation and asset creation. The overall defence budget itself is up 15% YoY versus Rs 6,812 bn (BE FY26) and 7% higher than Rs 7,325 bn (RE FY26).

Capital outlay over the years



Source: Ministry of Finance, B&K Research

Valuation and recommendations

- **Hindustan Aeronautics:** We maintain our Buy rating with an unchanged target price of Rs 5,467, based on 34x Dec-27E EPS. At the current market price, the stock trades at 25x/21x FY27/28E EPS.
- **Bharat Electronics:** We maintain our Buy rating with an unchanged target price of Rs 513, based on 45x Dec-27E EPS. At the current market price, the stock trades at 41x/34x FY27/28E EPS.
- **Bharat Dynamics:** We maintain our Hold rating with an unchanged target price of Rs 1,278, based on 42x Dec-27E EPS. At the current market price, the stock trades at 45x/35x FY27/28E EPS.

DAC approvals over the past few years

Date	Amount (Rs bn)	Key products
06-06-22	764	Rough Terrain Fork-Lift Trucks (RTFLTs), Bridge Laying Tanks (BLTs), Wheeled Armoured Fighting Vehicles (Wh AFVs) with Anti-Tank Guided Missiles (ATGMs) and Weapon Locating Radars (WLRs), Next Generation Corvettes (NGC)
26-07-22	287	Swarm Drones, Bulletproof Jackets, and Carbines
22-12-22	843	Futuristic Infantry Combat Vehicles, Light Tanks, Naval Anti-Ship Missiles, Multi-Purpose Vessels, new range of missile system, Long Range Guided Bombs & Next Generation Offshore Patrol Vessels
10-01-23	43	HELINA Anti-Tank Guided Missiles, VSHORAD (IR Homing) missile system, Brahmos Launcher and Fire Control System (FCS)
17-03-23	705	BrahMos missiles, Shakti EW systems & Utility Helicopters-Maritime, Long Range Stand-Off Weapon, 155mm/52 Caliber ATAGS, High Mobility & Gun Towing Vehicles
24-08-23	78	Electronic Warfare (EW) Suite on Mi-17 V5 Helicopters, Ground-Based Autonomous System,7.62x51 mm Light Machine Gun (LMG) and Bridge Laying Tank (BLT)
15-09-23	450	Light Armoured Multipurpose Vehicles, Integrated Surveillance & Targeting System and Next Generation Survey Vessels, avionic upgradation of Dornier Aircraft, procurement of Dhruvastra Short Range Air-to-Surface Missile & 12 Su-30 MKI Aircraft
30-11-23	2,230	Light Combat Helicopters & Light Combat Aircraft Mk 1A from HAL, Medium Range Anti-Ship Missiles, Acquisition of Towed Gun System cleared to replace Indian Field Gun
16-02-24	846	New generation anti-tank mines, Air Defence Tactical Control Radar, Heavy Weight Torpedoes, Medium Range Maritime Reconnaissance & Multi-Mission Maritime Aircraft, Flight Refueller Aircraft & Software Defined Radios
29-07-24	-	Advanced Land Navigation System for Armoured Fighting Vehicles & 22 Interceptor Boats
03-09-24	1,450	Procurement of Future Ready Combat Vehicles, Air Defence Fire Control Radars, Dornier-228 aircraft, Next Generation Fast Patrol & Offshore Patrol Vessels
03-12-24	218	Procurement of Water Jet Fast Attack Crafts, Fast Interceptor Craft, Electronic Warfare Suite (EWS), Next Generation Radar Warning Receiver, Advanced Light Helicopters
20-03-25	540	1350 HP engines for T-90 tanks, Varunastra Torpedoes & Airborne Early Warning & Control Aircraft systems
03-07-25	1,050	Armoured Recovery Vehicles, Electronic Warfare System, Integrated Common Inventory Management System for the Tri-Services and Surface-to-Air Missiles. Moored Mines, Mine Counter Measure Vessels, Super Rapid Gun Mount and Submersible Autonomous Vessels
05-08-25	670	Thermal Imager-based Driver Night Sight for BMP, Compact Autonomous Surface Craft, BrahMos Fire Control System & Launchers and Upgradation of BARAK-1 Point Defence Missile System, Mountain Radars and Upgradation of SAKSHAM/SPYDER Weapon System, Medium Altitude Long Endurance (MALE) Remotely Piloted Aircraft (RPAs), Sustenance of C-17 and C-130J fleets and comprehensive annual maintenance contract of S-400 Long Range Air Defence Missile System
23-10-25	790	Nag Missile Mk2 with supporting ELINT and mobility systems, Landing Platform Docks, 30mm Naval Surface Guns, Light Weight Torpedoes, Electro Optical Infrared Search and Track System, Ammunition for 76mm Super Rapid Gun Mount
30-12-25	790	Loiter Munition Systems for Artillery Regiments, Low-Level Lightweight Radars, Long-Range Guided Rocket Ammunition for Pinaka MRLS, Integrated Drone Detection & Interdiction System Mk-II, Bollard Pull (BP) Tugs, HF Software Defined Radios (SDR) – Manpack, Extension of lease of 2× MQ-9B HALE RPAS, Automatic Take-Off & Landing Recording System, Astra Mk-II Air-to-Air Missiles, Full Mission Simulator, SPICE-1000 Long-Range Guidance Kits
12-05-26	3,600	Rafale (MRFA), Combat Missiles, Air-Ship Based High Altitude Pseudo Satellite (AS-HAPS), Anti-Tank Mines (Vibhav), Overhaul of Vehicle Platforms of Armoured Recovery Vehicles (ARVs), T-72 Tanks and BMP-2 (BMP-II) Infantry Combat Vehicles, 04 MW Marine Gas Turbine based Electric Power Generator, P8I Long Range Maritime Reconnaissance Aircraft, Electro-Optical/Infra-Red (EO/IR) System for Dornier 228 Aircraft.
27-03-26	2,380	Air Defence Tracked System, Armoured Piercing Tank Ammunition, High Capacity Radio Relay, Dhanush Gun System, Runway Independent Aerial Surveillance System, Medium Transport Aircraft, S-400 Long Range Surface-to-Air Missile System, Remotely Piloted Strike Aircraft, Overhaul of Su-30 Aero engine Aggregates, Heavy Duty Air Cushion Vehicles.

Source: PIB, Media reports, B&K Research

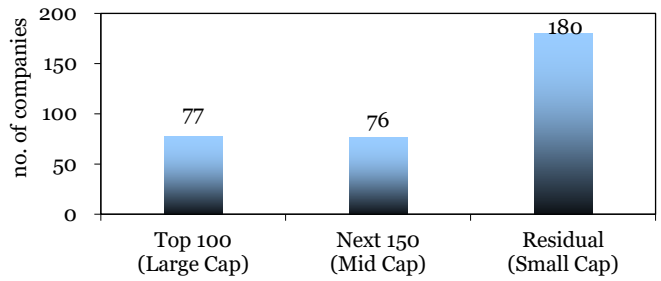
Reference report

Defence & Aerospace - Sector Update - Defence Conclave 2026 - Key highlights: **http://zzz.bksec.com/Reportsupload/2026/3/Defence & Aerospace - Sector Update - 16 Mar 26.pdf**

Defence & Aerospace - Sector Update - DAC's record Rs 3.6 trn clearance tilts towards imported tech: **http://zzz.bksec.com/Reportsupload/2026/2/Defence & Aerospace - Sector Update - 16 Feb 26.pdf**

Defence & Aerospace - Thematic Report - India Defence: Leaps, bounds and a structural runway: **http://zzz.bksec.com/Reportsupload/2025/12/Defence & Aerospace - Thematic Report - 08 Dec 25.pdf**

B&K Universe Profile – by AMFI Definition



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HOLD	+15% to -10 %	+20% to -15 %
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